

## O) Additional Schedule - Income Recognition, Asset Classification and Provisioning pertaining to Advances- Clarifications (IRACP)

With reference to the Credit Card application submitted by me/by us, I/we confirm having understood the following concepts and illustrative examples (as detailed below) related to due dates, classification of my/our Card/loan accounts as Special Mention Account (SMA)/ Non-Performing Asset (NPA) in the course of the conduct of the accounts.

Also understand that loan account referred herein shall be applicable to both the credit card and/or any other additional loan that may avail from the bank based on the credit card if the application is approved. (The additional loans would be applicable for cards issued to individual only & subject to certain eligibility criteria and includes loans given within the credit card sanctioned limit or as a separate facility based on credit card)

### Concepts / Clarifications / Illustrative Examples

**Dues:** mean, the principal/ interest/ any charges levied on the loan account which are payable within the period stipulated as per the terms of sanction of the credit facility/payment due date mentioned in the monthly statement.

**Overdue:** Means, the principal interest/ any charges levied on the loan account which are payable but have not been paid within the period stipulated as per the terms of sanction of the credit facility. In other words, any amount due to the bank under any credit facility is 'overdue' if it is not paid on the due date fixed by the bank.

**Appropriation of payments:** Payments received against the Cardmember's card outstanding will be adjusted against all pre-closure, GST, fees and charges, EMI, cash advances and retail purchases in that order.

If in any loan account as on 01.02.21 there are no over dues and an amount of ₹X is due for payment towards principal instalment / interest / charges, any payment being credited on or after 01.02.21 in the loan account will be used to pay off the dues outstanding on 01.02.21.

Assuming that nothing is paid or there is partial payment (₹Y) of dues during February month, the overdue as on 01.03.21 will be ₹X-Y.

Additionally, an amount of ₹Z becomes due as on 01.03.21, Now any payment/ partial payment into the account on or after 01.03.21 will be first utilized to pay off the partial due of 01.02.21 (₹X - ₹Y) If there is more recovery than the ₹X - ₹Y. then. After recovering dues of 01.02.21, the remaining amount will be treated as recovery towards due of 01.03.21.

**Age of oldest Dues:** The age of oldest dues is reckoned in days from the date on which the oldest payment is due and continues to remain unpaid in the aforesaid illustration, if the Dues relating to 1<sup>st</sup> Feb'21 remain unpaid till 01.03.21, the age of the oldest dues is reckoned as 29 days on 02.03.21.

**Classification as Special Mention Account (SMA) and Non-Performing Asset (NPA)** Lending institutions will recognize the incipient stress in loan accounts, immediately on Default, by classifying them as Special Mention Accounts (SMA) The basis of classification of SMA / NPA Category shall be as follows:

| Outstanding in the Credit card account or Additional Loan thereon (For credit card dues referred hereinto is the Minimum Amount Due as mentioned in the card statement) |                                                                                                       |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------|
| SMA Sub-categories                                                                                                                                                      | Basis for classification - Principal or interest payment or any other amount wholly or partly overdue |
| SMA-0                                                                                                                                                                   | Up to 30 days                                                                                         |
| SMA-1                                                                                                                                                                   | > 30 days and up to 60 days                                                                           |
| SMA-2                                                                                                                                                                   | > 60 days and up to 90 days                                                                           |

**Non-performing Asset:** Non-Performing Asset (NPA) is a loan or an advance where: A term loan where interest and/ or instalment of principal remains overdue for a period of more than 90 days, A credit card account will be treated as non-performing asset if the minimum amount due, as mentioned in the statement, is not paid fully within 90 days from the payment due date mentioned in the statement.

Illustrative movement of an account to SMA category to NPA category based on delay 1 non-payment of dues and subsequent upgradation to Standard category during End of Day (EOD) process (considering February as a non-leap year month): Dues referred hereinto is the Minimum Amount Due/ EMI amount as mentioned in the loan statement.

## DISCLOSURE ON REVENUE SHARING BETWEEN HDFC BANK AND THE COBRANDING PARTNER ENTITY

The arrangement between HDFC Bank and its co-brand partners for issuance of the co-branded credit card may involve sharing of revenues in respect of the relevant co-brand cards, between HDFC Bank and the relevant co-brand partner. The typical manner of revenue sharing under the various co-brand arrangements of HDFC Bank is set out below:

- **Membership Fee:** HDFC Bank may make payment of a certain percentage of the realised membership fee applicable on the co-branded credit card to the co-brand partner;
- **Annual fee:** HDFC Bank may make payment of a certain percentage of the annual fee as applicable to